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‘This Unfortunate Matter’

EVERY INSTITUTION OR ORGANIZATION WITH a charismatic founder must at some time experience the stress and strain associated with an enterprise becoming an institution. Sorabji, the charismatic founder, with a penchant for expansion, came into conflict with the conservative Sir Dinshaw Wacha, one of the Directors of the bank. The most famous internal dissension in the bank became known as the ‘Masani affair’ even though Rustum Masani (later Sir) was not a central figure in the episode to which he gave his name. The differences between Sir Dinshaw and Sorabji were evident a few years before Masani joined the Central Bank in 1925. The beginnings of sustained pressure against Sorabji antedated Masani’s appearance on the scene and his induction was a result of some Directors who believed that the working of the bank needed method, regulation, and institutionalization. This was the sorriest chapter in the history of the bank and it is illuminating to examine what the biographers of the two main actors, N.J. Nanporia in the case of Sorabji, and B.K. Karanjia in the case of Masani, have to say about this unhappy interlude.

THE MASANI AFFAIR

The genesis of the friction between Sorabji and the Board of the Central Bank lay in the feeling of the Board, particularly on the part of Sir Dinshaw Wacha, that Sorabji had a tendency of keeping ‘the Board in the dark’.[1] Sorabji was also charged as someone given to a ‘spirit of speculation’ and it was put about that he was guilty of conduct inconsistent with the integrity